IDMY Direct Selling

13 Jan

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3 types of cross-selling model to make SHP's local assortment available overseas

	Description	Network coverage	ADO (Dec-24)
SIP	SIP mirrors seller's local shop to overseas markets. SIP operates the overseas shops in a mass-management manner	• Launched in 2019 • Existing: 26 lanes across local markets • Launch prep: BRSIP	125,674
Direct selling	Local seller owns a CB MP shop in an overseas market. Seller operates the overseas shop on the seller center overseas	• Launched in Mar-24 • Existing: 1 lane (MY-SG) • Launch prep: SG-MY, MY-PH	6,096
WH cross-selling	For SKUs in local WHs (local FBS, CB FBS, local SCS, CB SCS), SIP mirrors the SKUs to an overseas market, and fulfill from origin market WH	• Launched in Jul-24 • Existing: MYWH-SG (CB FBS, local/CB SCS) • Launch prep: MYWH-SG (CB/local FBS)	3,757

Direct selling is better suited for short-tail/mid-tail local sellers, who are more willing/capable of investing into their overseas business growth

	Direct selling	SIP
Typical seller profile	• Short-tail/mid-tail local / SIP sellers who have the capacity, budget, and willingness to seriously invest into building global selling capabilities	• Long-tail sellers who do not have capacity and budget needed to ramp up overseas knowledge and operations • New sellers who would like to test their products fit to overseas market with low investment
Pros to seller	• Build CB selling/brand building capabilities • Full control of overseas shop operations, listing, pricing, marketing investment and strategy • Higher SKU efficiency and ADO potential due to better listing, CS, pricing, etc.	• Additional overseas order at no incremental cost/effort • Test the product fit with overseas market before making additional market entry/investment decision • No need to worry about CB RR (SIP absorbs)
Cons to seller	• Additional capacity/budget needed to operate overseas shop • Lack of CB knowledge may lead to wrong price/marketing decision • Need to operate overseas shops in overseas seller center	• No visibility/control of the overseas shop • Won't be able to build up the first-hand CB selling capabilities • May not be able to maximize their order potential due to mass-management

[Back-up: MYSG example] Direct selling has higher SKU effi and ADO potential

Lane level comparison (data as of Nov-24 full month)

Metric	MYSG SIP	MYSG Direct selling
# sellers	158,214	3,878
# SKUs	8,477,079	249,892
SKU effi	0.26%	2.64%
# ADO	22,242	6,606

Seller level comparison (data as of Nov-24 full month)
(The same seller owns both SIP and Direct shop)

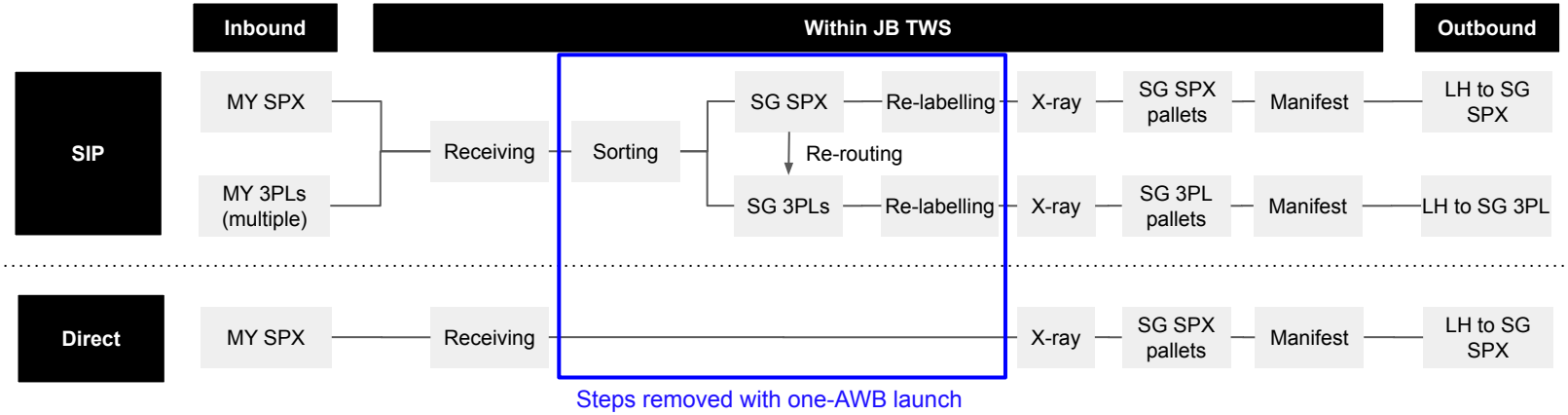
Metric	MYSG SIP	MYSG Direct selling
# sellers	1,023	1,023
# SKUs	184,635	139,595
SKU effi	1.49%	2.53%
# ADO	2,745	3,530

Highlights:

- Direct selling has better SKU efficiency on both lane overall level, and for short-tail sellers with both SIP and Direct shops
- Key levers for better SKU efficiency
  - Shorter lead time due to SPX e2e 1-AWB design (0.3-0.5 days saving)
  - Better shop ops by individual sellers vs SIP mass management (listing quality, CS service)
  - Investment from sellers on ads, rebates, etc.
- Note: For sellers with both SIP and Direct shops on MYSG, they will need to choose to keep only one shop going forward due to system design

[Backup: MYSG example] Direct selling has shorter BWT of 0.3-0.5 days than SIP, as one-AWB system skips TWS operations

MYSG MP Direct / SIP order logistics flow



[Backup: MYSG example] The new MYSG seller center will resolve the direct seller pain points and scale up direct selling. To be launched in Apr-25

	Priority business needs	MYSG Seller Center system features to meet the business needs
Minimize disruption to local selling	**Maintaining local selling experience** unchanged	• **Same local selling interface and experience** as existing MY seller center
Maximize potential and flexibility for CB selling 11-19k ADO uplift	**Grow SIP** by improving SKU efficiency with seller co-investment	• **Seller able to see their SIP shops** on the seller center and track shop performance • **Seller able to provide price discount / ads / voucher investment** based on SIP team recommendations
	Grow Direct selling by improving SKU listing with migration tool	• **Seller to operate local and CB shops from one seller center** • Listings/sold count/review history in CB shop directly mirrored from local shop • **Pricing recommendation** provided • **Logistics, payment, buyer chats for local and CB shops integrated in one interface**
	Maximize CB selling flexibility with switch between biz models	• Enable **switch between SIP and Direct shops** based on seller profiles and preferences
Replicate to all cross-selling lanes 60-90k ADO uplift	**Easily replicable to other lanes** with low additional efforts	• **80% development efforts directly replicable** to any other cross-selling lanes • 20% additional efforts limited to setup specific to the region (~2-4 weeks efforts per lane)

[IDMY Direct selling potential] Projected 35% ADO lift to 54,538, by converting 50% SIP ADO to direct selling; next step to run seller pilots to identify the seller profiles most suited for IDMY direct selling

Impact estimation	Calculations	Remarks
IDMY SIP ADO [A]	40,429	Dec-24 full-month actual
% SIP ADO with potential to onboard to Direct [B]	50%	Assuming sellers with 50% ADO are willing/able to convert; the rest remaining on SIP
Potential SIP ADO to onboard to Direct [C] = [A] x [B]	20,215	
SKU efficiency multiple [D]	1.7	Benchmark MYSG actual multiple for sellers with both SIP and Direct shops
IDMY Direct ADO [E] = [C] x [D]	34,324	
IDMY SIP ADO [F] = [A] - [B]	20,215	
IDMY total ADO [G] = [E] + [F]	54,538	
ADO uplift [H] = [G] - [A]	14,109	
ADO Uplift %	35%	

Highlights: The projection is conditional to (1) the new MYSG/global seller center; (2) SPX e2e channel with 1-AWB; (3) seller fully ramped up their selling capabilities (usually 3-6 months, longer for longer-tail sellers)

[Support needed for pilot] Need ID SMT to support pilot sellers; and ID SPX to work out the shipping rate card with SIP SLS team

	Team	Support needed
ID	**ID SMT (RM)**	• Reach out to target pilot sellers to test interest [ETA: 17 Jan] • Align with SIP team on the finalized 10-20 seller pilot list and inform the seller [ETA: 20 Jan] • Support pilot seller on shop onboarding, wallet binding, marketing asset and campaign participation (Training will be provided by MYSG Direct team and MY BD team) [21 Jan to 30 Mar]
	ID SPX	• Provide the ID local FM to TWS rate card [ETA: 24 Jan]
MY	MY BD	• Provide marketing resources for the pilot [ETA: 24 Jan] • Guide ID RMs on marketing plan and campaign participation for pilot sellers [21 Jan to 30 Mar]
MYSG	MYSG SMT	• Train and guide ID RMs on direct seller support [21 Jan to 30 Mar]
	MYSG biz ops	• Obtain necessary system access for MY direct shop opening [ETA: 17 Jan] • Open IDMY direct shop, migrate skus and recommended price, bind logistics channel [ETA: 7 Feb]
CB	CB ops	• Migrate sold count and reviews for IDMY direct shopt [ETA: 7 Feb]
	CB BPM	• Build logistics channel and prep logistics ops [ETA: 7 Feb]

Proposed top 100 IDMY muslim fashion sellers to test interest (full list link)

Top 50 IDMY SIP muslim fashion sellers (20 shown here)

ID SID	ID Shop Name	IDMY SIP SID	IDMY SIP ADO (Nov-24)
455746501	niekeukeuhpi.my	954756272	243
40204146	muftyaliraja.my	414173540	140
379611394	winshijab1.my	446995620	135
47415775	outfit_solo1.my	427650352	127
5228333	alfatihstore.my	240991985	118
93076834	primavera_shop.my	240978127	84
72539241	gl_fashion.my	250487825	71
193193385	shofaidkd.my	468168470	66
17925030	konveksitas_replika.my	241065680	60
95348575	gogofashion.my	281353551	52
419324568	ikacollection32t2.my	526175048	50
251981231	dasterkalonganp3.my	509373383	50
344625575	vallinaoutfit.my	405394650	46
89939795	nazihah1184.my	274967379	43
56006988	ana_pakaian.my	362133373	42
322435644	armanivon.my	344610442	41
216270936	aquilah_store.my	316227335	41
12868885	elshafahijab.my	241108638	41
4193181	byadindahijab.my	240978013	39
11465979	btc_solo.my	409631854	36

Top 50 ID local muslim fashion sellers (20 shown here)

ID SID	ID shop name	ID ADO (Nov-24)
211981916	Owneruptofemalefashion	13495
7438346	HTC MUSLIM Official	6202
170324740	dashopie	5750
251189623	Sarifashionofficial	4445
228514054	mallafashionofficial	4405
112982676	KENAN HIJAB INDONESIA	3961
101478132	Duta Grosir Baju	3570
859640228	officialhirembulan	3112
36731604	ARJUNA KIDS	3012
255402508	Lozy Hijab Official Shop	2493
775061410	msyu store	2369
195103362	Cahaya Beauty 88	2217
253932495	Angelfashion_77	2107
126826976	Bhinekas collection	2091
957357885	RAYYANZ HIJAB	1962
785597524	MEDINA PREMIUM	1873
250839435	HAMIDAH_SCRAF	1703
330095154	Mareema.id	1660
58543614	Natasha hijab77	1632
301300722	Pusat Mukena Hijab Tasikmalaya	1605

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[Back-up: pilot plan] Propose to launch pilot with 10-20 ID sellers in MY by mid-Feb and review for scale-up by end Mar

				Project week	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	18	19	20	21	22
				Month		Jan			Feb				Mar				Apr				May				
				Week starting	6	13	20	27	3	10	17	24	7	14	21	28	4	11	18	25	1	8	15	22	29
Category	Action Item	PIC	ETA	Status	Pilot												Roll-out prep				Full roll-out				
BD	Prep 100 target seller list for pilot and outreach message	SIP project	10 Jan	Completed																					
	Reach out to sellers, to test their interest in direct selling	ID SMT	17 Jan	Planned																					
	Finalize 10-20 pilot seller list and inform sellers	SIP project / ID SMT	20 Jan	Planned																					
Ops	Obtain necessary system access for MY direct shop opening	SIP ops / MYSG biz ops	17 Jan	Planned																					
	Open IDMY direct shop, migrate skus and recommended price, reviews and sold count	MYSG biz ops / CB ops / CB BPM	7 Feb	Planned																					
Logistics	Build logistics channel and prep logistics ops	CB BPM / SIP SLS	7 Feb	Planned																					
	Bind shops to logistics channel	MYSG biz ops	14 Feb	Planned																					
	Finalize shipping rate card	SIP SLS	31 Jan	Planned																					
Marketing	Confirm marketing resources from MY to pilot sellers	MY BD	24 Jan	Planned																					
Seller support	Provide training to ID/MY SMT on shop onboarding, payment binding, marketing support	MYSG biz ops / MYSG SMT	17 Jan	Planned																					
	Support seller to open 3P wallet and bind to shop	ID SMT	14 Feb	Planned																					
	Support seller to complete shop setup (e.g., confirm pricing) and get ready to sell	ID SMT	14 Feb	Planned																					
	Support seller on selling ops, marketing tool, campaign participation on MY platform	ID SMT / MY BD / MYSG SMT	30 Mar	Planned																					
Tracking	Track the progress and review the pilot plan	SIP project / IDSIP management	30 Mar	Planned																					

We are here